

Carol St. Clair
EB 3889
713-853-3989 (Phone)
713-646-3393 (Fax)
carol.st.clair@enron.com

----- Forwarded by Carol St Clair/HOU/ECT on 04/24/2001 08:44 AM -----

Chris Long@ENRON
04/24/2001 08:33 AM

To: Mark Taylor/HOU/ECT@ECT, Carol St Clair/HOU/ECT@ECT, Teresa G Bushman/HOU/ECT@ECT
cc: Linda Robertson/NA/Enron@ENRON, Larry Decker/NA/Enron@Enron
Subject: Bankruptcy Update

No. 79
Tuesday April 24, 2001 Page A-33
ISSN 1523-567X
Regulation, Law & Economics

BankruptcyDaschle Says Bankruptcy Reform Stuck As Party Roles in Conference Still in Limbo

Bankruptcy legislation (S. 420/H.R. 333) that separately passed the Senate and House earlier this spring remains in limbo, as the Senate still cannot agree on how to proceed to conference with the House, Senate Minority Leader Thomas Daschle (D-S.D.) told reporters April 23.

The question of party representation in conference continues to stall efforts to bring the issue of bankruptcy reform to a close. Democrats, who occupy half of the Senate's seats, are insisting upon equal representation in conference, while Republicans oppose it.

Efforts to forego a conference with the House are unlikely to succeed given House leadership concerns about a number of controversial amendments the Senate made to S. 420 before passing it. In particular, many Republicans object to provisions opposed by President Bush that are intended to make it harder for debtors to shield assets by purchasing expensive homes in states that bar creditors from seizing the homes in bankruptcy auctions.

"There has been no resolution yet," Daschle said. "I would say that I think both [Senate Majority Leader Trent Lott (R-Miss.)] and I and our staffs are working to try to resolve his concern, which is what do you do in a tie ... You know, I think what happens in a tie is [that] you just keep talking until you break the tie."

Daschle said he is looking for an "opportunity to break through," but has yet to find one. Regardless, Daschle said he does not think "tie votes are all that big a problem, either in conference or in committee."

With Daschle voting in the affirmative, the Senate March 14 approved 80-19 a cloture motion Lott filed late March 12. Sen. Paul Wellstone (D-Minn.), the bill's most outspoken opponent, argued passionately against cloture and Sen. Harry Reid (D-Nev.) foiled an attempt by Lott to secure unanimous consent to prepare the bill for a conference with House members after the bill passed

the Senate March 15.

In general, the bills aim to force more bankruptcy filers to file under Chapter 13, which requires some repayment of debts, instead of Chapter 7. The bills are a copy of last year's conference report worked out between the House and the Senate, which former President Clinton pocket-vetoed in December.

Copyright , 2001 by The Bureau of National Affairs, Inc., Washington D.C.